

सत्यमेव जयते

Government of India

SCHEME GUIDELINES

for

ELECTRONICS COMPONENT MANUFACTURING SCHEME

Notified vide gazette notification No. CG-DL-E-08042025-262341
Dated April 8, 2025

Government of India
Ministry of Electronics and Information Technology

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Government of India
Ministry of Electronics and Information Technology (MeitY)
IPHW Division

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Guidelines for the Operation of the Electronics Component Manufacturing Scheme

1. Background

- 1.1. The Electronics Component Manufacturing Scheme (hereinafter referred to as 'Scheme') was notified vide gazette notification no. CG-DL-E-08042025-262341 dated 08 April 2025.
- 1.2. In pursuance of para 14 of the said notification, the scheme guidelines are to be laid down for the effective operation and smooth implementation of the scheme. In case of any inconsistency between the scheme and the guidelines, the provisions of the scheme will prevail.
- 1.3. The guidelines have been prepared after detailed consultations with industry and other relevant stakeholders.

2. Definitions

- 2.1. **Applicant:** An applicant shall be either a company registered in Bharat under Companies Act, 2013 (erstwhile Companies Act, 1956) or a Limited Liability Partnership (LLP) registered under Limited Liability Partnership Act, 2008. Such an applicant should be investing in the manufacture of target segment goods in Bharat and applying for approval under the scheme.
- 2.2. **Application:** Application means the form submitted by an applicant in the prescribed format on the online portal, along with supporting documents and application fee.
- 2.3. **Application Window:** It is the time period allowed for filing the application under the scheme.

- 2.4. **Base Year:** For computation of turnover linked incentive, FY 2024-25 shall be the base year for the calculation of incremental sales. If an applicant opts for one year gestation period, FY 2025-26 shall be the base year.
- 2.5. **Capital Expenditure/Investment:** The capital investment made by an applicant as per para 5.2 of the scheme guidelines for the manufacture of target segment goods in Bharat.
- 2.6. **Chartered Engineer (CE):** An engineer with corporate membership of the Institution of Engineers (India) and Chartered Engineer (India) certificate issued by Institution of Engineers (India).
- 2.7. **Commercial Production:** It shall mean compliance with the following milestones:
- 2.7.1. The project has started the production of target segment goods as per approval given under the scheme.
 - 2.7.2. The project's assets such as land, building, plant, machinery and equipment are capitalized in the books of accounts to the extent a claim for incentives is made and are being utilized for production and sales.
 - 2.7.3. CE certifies the installed capacity and commencement of production of target segment goods for commercial use.
 - 2.7.4. Statutory auditor certifies the commencement of production for sale and capitalization of the assets in books of accounts of applicant.
- 2.8. **Competent Authority:** Competent authority under the scheme shall be as defined in Para 17 of the scheme guidelines.
- 2.9. **Cumulative Incremental Investment:** Investment made by an applicant from date of scheme notification, date of acknowledgement or date of acknowledgement under SPECS, as applicable, under the scheme.
- 2.10. **Date of Acknowledgement:** The date on which acknowledgement is issued to the applicant by the project management agency (PMA) after initial scrutiny of the application. Acknowledgement of an application shall not be construed as approval under the scheme.
- 2.11. **Electronics System Design and Manufacturing (ESDM):** ESDM shall refer to the design, development or manufacturing of electronic systems and products.

- 2.12. **Enclosures:** It shall include enclosures for mobile, IT hardware products and related devices as well as enclosure of parts and sub-parts of such devices.
- 2.13. **Financial Year:** Financial year (FY) begins on the 1st April of a year and ends on 31st March of the following year.
- 2.14. **Force Majeure:** Extraordinary events or circumstances beyond human control such as an event described as an act of god (like a natural calamity) or events such as a war, strike, public health emergency, riots, crimes (but not including negligence or wrong-doing, predictable/ seasonal rain and any other events specifically excluded).
- 2.15. **Gestation Period:** It refers to a period allowed for establishing the manufacturing project/unit for production of target segment goods. Under the scheme, an applicant may opt for a gestation period of one (1) year i.e. FY 2025-26. The investment made during this period shall be considered as an eligible investment; however, the applicant shall not be eligible for claiming incentives for production for this period. It shall only be applicable to the target segments, (A) sub-assemblies, (B) bare components and (C) selected bare components.
- 2.16. **Governing Council (GC):** Governing Council shall be an inter-ministerial council under the chairmanship of Secretary, MeitY as per para 16.1 of the scheme guidelines.
- 2.17. **Group Company/Companies:** As per FDI policy circular of 2020, Group company/companies shall mean two or more enterprises which, directly or indirectly, are in position to:
- 2.17.1. Exercise twenty-six percent (26%) or more voting rights in other enterprise; or
- 2.17.2. Appoint more than fifty percent (50%) of members of board directors in the other enterprise.
- 2.18. **HDI PCB:** It shall be referred to the PCB manufactured using HDI PCB manufacturing technologies such as Microvia Technology, Laser Drilling, Sequential Lamination, etc.
- 2.19. **Localization of Parts/Components:** It refers to the parts/components, which are domestically manufactured either by the applicant or by any other domestic manufacturer from whom the applicant procures.

- 2.20. **Manufacturing:** According to Central Goods and Service Tax (CGST) Act, 2017; manufacturing shall mean processing of raw material or inputs in any manner that results in the emergence of a new product having a distinct name, character and use. The term “manufacturer” shall be construed accordingly.
- 2.21. **Net Incremental Sales:** It is the difference between net sales of manufactured target segment goods in the incentive claim period and the base year.
- 2.22. **Net Sales:** Sales, net of credit notes (raised for any purpose), discounts (including but not limited to cash, volume, turnover, target or for any other purpose), any other adjustments/ refunds to customers against sales consideration, applicable taxes, expenses pertaining to advertisement and sales promotion, and brand royalty.
- 2.22.1. For export sales:
- (i) The value of an invoice shall be considered based on the GST rules as per the exchange rate notified by the CBIC (refer to Rule 34 of CGST Rules). If the company is not issuing GST invoice as per the rate notified by CBIC, the prevailing exchange rates as notified by the CBIC on the date of issuance of the GST invoice shall be used.
 - (ii) If the sales terms, with the buyer, are on a Free/ Freight on Board (FOB) basis, the FOB value as per the books of accounts shall be considered. However, if the sales terms differ from the FOB basis, the lower of the sales values as per the books of accounts or the FOB value as per the shipping bill filed for export shall be considered.
- 2.23. **Project/ Unit:** A project/ unit shall be a manufacturing unit(s), which an applicant intends to set up to manufacture the target segment goods under the scheme. It can be a greenfield project i.e. a new business unit or brownfield project i.e. expansion of capacity/ modernization and/ or diversification of an existing unit.
- 2.24. **Project Management Agency (PMA):** Any entity(ies) appointed by MeitY to act on its behalf for receipt, appraisal of projects, issuance of acknowledgement of applications, determination of baselines, verification of eligibility and examination of incentive claims in accordance with the scheme notification and its guidelines.
- 2.25. **Promoter:** The term promoter shall be construed as defined u/s Section 2(69) of Companies Act, 2013. The promoter means a person— (a) who has been named as such in

a prospectus or is identified by the company in the annual return referred to in section 92 of Companies Act (2013); or (b) who has control over the affairs of the company, directly or indirectly whether as a shareholder, director or otherwise; or (c) in accordance with whose advice, directions or instructions the Board of Directors of the company is accustomed to act: provided that nothing in sub-clause (c) shall apply to a person who is acting merely in a professional capacity;

- 2.26. **Related Party/Parties:** The term 'related party' shall be defined in Accounting Standard-18: Related Party Disclosures or Indian Accounting Standard (Ind-AS)-24 Related Party Disclosure, as may be applicable to the applicant, as notified by Ministry of Corporate Affairs or any other appropriate authority from time to time.
- 2.27. **Successor-in-Interest:** Successor-in-interest shall mean the new or re-organized entity formed after the merger, demerger, acquisition, transfer of business or significant change in ownership of an applicant.
- 2.28. **Target Segment:** The target segments are the identified goods under the scheme, which are eligible for incentives in its manufacturing. The target segments covered under the scheme shall be as follows:

S.No.	Target segments	Nature of Incentive
A	Sub-assemblies	
1	Display module sub-assembly	Turnover linked incentive
2	Camera module sub-assembly	
B	Bare components	
3	Non-Surface mount devices (non-SMD) passive components for electronic applications	Turnover linked incentive
4	Electro-mechanicals for electronic applications	
5	Multi-layer Printed Circuit Board (PCB)	
6	Li-ion Cells for digital applications (excluding storage and mobility)	
7	Enclosures for Mobile, IT Hardware products and related devices	
C	Selected bare components	
8	High-density interconnect (HDI)/ Modified semi-additive process (MSAP)/ Flexible PCB	Hybrid incentive
9	SMD passive components	
D	Supply chain ecosystem and capital equipment	

S.No.	Target segments	Nature of Incentive
10	Parts/components used in manufacturing of sub-assembly (A) and bare components (B) & (C)	Capex incentive
11	Capital goods used in electronics manufacturing including their sub-assemblies and components	

3. Qualification criteria under the scheme

3.1. General qualification criteria for applications under the scheme are as follows:

- 3.1.1. An applicant making application(s) for greenfield or brownfield investment for the manufacturing of target segment product (goods) shall be eligible.
- 3.1.2. An applicant shall submit separate applications for each target segment product.
- 3.1.3. An applicant shall only submit one application for one target segment product. In case of revision in the submitted application, an applicant needs to withdraw the submitted application and resubmit a fresh application. The application fee submitted against the withdrawn application will be forfeited.
- 3.1.4. If an applicant is having foreign direct investment (FDI), it should be in compliance with FDI Policy circular 2020, as amended from time to time, issued by Department for Promotion of Industry and Internal Trade, Ministry of Commerce and Industry, Government of India.
- 3.1.5. As per cabinet approval dated 28.03.2025 (CD-076/2025), those acknowledged applications under the SPECS (notified vide notification no. W-18/30/2019-IPHW-MeitY dated 1st April 2020), which could not be considered due to limited budget availability, would be considered under the ECMS scheme for approval if they meet qualification and eligibility criteria under the scheme.

3.2. The qualification criteria for the **target segments, (A), (B) and (C)** are as under:

- 3.2.1. The applicant, its group companies and joint ventures (JV) shall be required to meet either the minimum consolidated global ESDM revenue or manufacturing revenue for **FY 2023-24** as indicated below:

Target Segment	ESDM revenue (Rs)	Manufacturing revenue (Rs)
1. Display module sub-assembly	250 crore	750 crore
2. Camera module sub-assembly	250 crore	750 crore
3. Non-SMD passive components	50 crore	150 crore
4. Electro-mechanicals for electronic applications	50 crore	150 crore
5. Multi-layer PCB	50 crore	150 crore
6. Li-ion Cells for digital applications (excluding storage and mobility)	250 crore	750 crore
7. Enclosures for mobile, IT hardware products and related devices	250 crore	750 crore
8. HDI/MSAP/Flexible PCB	500 crore	1500 crore
9. SMD passive components	250 crore	750 crore

3.2.2. If a company follows the calendar year as an accounting year, the revenue shall be calculated and submitted by the applicant on a financial year basis.

3.2.3. The applicant shall submit a self-certified statement of consolidated global ESDM / manufacturing revenue for FY 2023-24 in the prescribed format on the online portal.

3.2.4. In case of an applicant as JV, the revenue shall be calculated as weighted average revenue based upon the shareholding pattern in JV. If the ESDM company has a majority stake in JV then the calculated revenue of JV shall be considered as ESDM revenue for purposes of qualification under the scheme. Else, it would be considered as Manufacturing revenue for qualification purposes.

3.2.5. The applicant, not meeting the global ESDM revenue threshold but meeting the manufacturing revenue threshold, shall submit details showing its technological capability for the target segment such as in-house capability, binding term sheet agreement with a technology partner, Transfer of Technology agreement or any other relevant supporting document demonstrating technological capability.

3.3. The qualification criteria for the **target segments (D)** are as under:

- 3.3.1. The applications received for this target segment shall be appraised on an ongoing basis.
- 3.3.2. The applicant's proposed investment should meet the minimum investment threshold criteria.
- 3.3.3. The applicant(s) shall submit financial capability by providing net worth certificate not older than 31st March 2024. The net worth of the applicant must be more than or equal to 50% of the proposed investment. In case the net worth of the applicant is less than 50% of the proposed investment, the applicant shall submit a board resolution for the committed investment and source of funding. The net worth of the applicant shall be computed as per section 2(57) of Companies Act, 2013 based on the latest audited balance sheet.

4. Incentive period

- 4.1. The overall tenure of the scheme is 6 years with 1 year of gestation period i.e. till 31st March 2032.
- 4.2. The gestation period is applicable for target segments A, B and C. The applicant may choose FY 2025-26 or FY 2026-27 as 1st year of incentive. The incentive shall be given for a period of 6 consecutive years from the 1st year of incentive opted by the applicant. For applicants selecting FY 2025-26 as the 1st year of incentive, the incentive period shall be from FY 2025-26 to FY 2030-31. For applicants selecting FY 2026-27 as the 1st year of incentive, the incentive period shall be from FY 2026-27 to FY 2031-32.
 - 4.2.1. The deadline for submission of incentive claims by the applicant shall be 9 months from the end of the financial year for which incentive is being claimed. After such time, the claims may not be entertained for disbursement.
- 4.3. For target segment D, the incentive period shall be 5 years from the date of acknowledgement of the application or any conditions laid down in the approval letter.
 - 4.3.1. The deadline for submission of incentive claims by the applicant shall be 9 months from the end of the financial year in which the commercial production has been achieved. After such time, the claims may not be entertained for disbursement.

However, this deadline would not be applicable for the disbursement of the employment incentive where longer duration has been provided as in para 5.4.3

5. Eligibility criteria for incentive claims

5.1. General eligibility

- 5.1.1. The applicant shall meet the threshold criteria with respect to investment, sales and employment as per Annexure 3 of the scheme guidelines.
- 5.1.2. Incentive payable to the applicant would be as per the incentive rates indicated in Annexure 2.
- 5.1.3. Manufacturing through contract manufacturer(s) will **not** be considered eligible under the scheme. The applicants may outsource a few parts of manufacturing process to domestic manufacturers on a job work basis. However, such job work should not form a significant part of manufacturing.
- 5.1.4. Ineligibility for incentive for any particular year shall not restrict the applicant for claiming incentive for subsequent years during the tenure of the scheme, provided eligibility criteria are met for such subsequent years.
- 5.1.5. Eligibility under this scheme shall not affect eligibility under any other scheme and vice versa. However, investments/sales incentivized under any other scheme of Government of Bharat shall not be eligible for incentive under this scheme. The applicant shall submit a management undertaking in this regard.

5.2. Investment

- 5.2.1. "Investment", for the purpose as in Annexure 2, shall mean a capital expenditure, which includes expenditure on plant, machinery, equipment, associated utilities, tools, dies, moulds, jigs and fixtures (including parts, accessories, components, and spares thereof), used in the design, manufacturing, assembly, testing, packaging or processing of any target segment goods. It shall also include expenditure on packaging, freight / transport, insurance, and erection & commissioning of the plant, machinery, equipment, and associated utilities. Associated utilities would include captive power, effluent treatment plants and essential equipment required in manufacturing of target segment

such as clean rooms, air curtains, temperature & air quality control systems, compressed air, water & power supply, control systems, etc. Associated utilities would also include IT and ITES infrastructure used in manufacturing target segment including servers, software, and ERP solutions.

- 5.2.2. The associated utilities will be capped at rates specified in the CPWD schedule of rates for items whose rates are available under CPWD schedule of rates. The applicant shall provide a statutory auditor certificate in respect of expenditure related to associated utilities.
- 5.2.3. The expenditure on packaging, freight/ transport, insurance, and erection & commissioning would be as on actual basis and shall be capped at 7.5% of the base cost.
- 5.2.4. The capital expenditure on in-house research & development (R&D) and product development for the target segments are eligible investment under the scheme. This shall include all stages of value chain of the proposed target segment including designing, development and prototyping.
- (i) The applicant shall provide a statutory auditor certificate and purchase agreements in respect of the intellectual property rights (IPR), patents and copyrights.
- (ii) The software associated with R&D shall be procured/ licensed through legally valid documents.
- 5.2.5. All non-creditable taxes and duties, expenditure towards Transfer of Technology and royalty may be included for the computation of cumulative incremental investment for the purpose of meeting threshold criteria. However, it **shall not be** incentivized under the scheme.
- 5.2.6. The expenditure incurred on land and building (including factory building/ construction) required for the Project/ Unit **shall not be** considered as an eligible investment.
- 5.2.7. The expenditure on consumables and raw material used for manufacturing **shall not also be** considered as an eligible investment.

- 5.2.8. The used / second hand / refurbished plant, machinery and equipment are allowed under the scheme, which have a minimum residual life of at least 5 (five) years, at the time of transfer of assets {as per Hazardous and Other Wastes (Management and Transboundary Movement) Rules, 2016, amended vide Ministry of Environment, Forest and Climate Change Notification dated 11.06.2018}. Further, valuation certificate and residual life certificate by CE shall also be required. In the case of import, such valuation should be in accordance with Customs Valuation Rules and Circulars. The value of these plant, machinery and equipment shall be considered as lower of depreciated value (as per scale of depreciation fixed by Customs, whether these plant, machinery and equipment are imported or not) and the value assessed by Chartered Engineer (of India) or equivalent overseas Chartered Engineer.
- 5.2.9. Plant, machinery, and equipment must be purchased / leased in the name of the applicant only. In case of lease, the nature of lease should be financial lease within the meaning of Accounting Standards-19 or Indian Accounting Standard (Ind-AS) – 116 Leases, as notified by Ministry of Corporate Affairs or any other appropriate authority from time to time. Plant, machinery, and equipment shall be procured / leased through legally valid documents.
- 5.2.10. The plant, machinery and equipment should be used in regular course of manufacturing for target segment goods. This does not preclude the usage of such machinery for manufacturing other electronic goods.
- 5.2.11. Date of invoice for purchase towards capital expenditure shall be considered as the date of investment subject to capitalization of assets in books of account.
- 5.2.12. For target segments (A), (B) and (C), the cumulative incremental investment shall be considered from the date of notification of the scheme.
- 5.2.13. For acknowledged applications under the SPECS, the cumulative incremental investment shall be considered from the date of acknowledgement of their application under SPECS (as per cabinet approval dated 28.03.2025 (CD-076/2025)).

5.2.14. For target segment D, the investment made within 5 years from the date of acknowledgement under the scheme, or any criteria stipulated in the approval letter, shall be considered eligible.

5.2.15. The applicant shall provide a statutory auditor certificate for eligible investment made, capitalization of assets in the book of accounts, commencement of commercial production (as applicable), etc. The applicants shall also provide the CE certificate for reasonableness of cost, installation of capital equipment, residual life of used / second hand / refurbished capital equipment, etc. The applicants shall also maintain a separate Fixed Asset Register (FAR) for the project/ unit along with proper tagging of assets.

5.3. Sales

5.3.1. For target segments A, B and C, the net sales shall be computed as defined at para 2.22. The applicant shall meet yearly net incremental sales threshold criteria (as per Annexure 3) for the target segment manufactured in Bharat to be eligible for incentive under the scheme.

5.3.2. The date of the invoice for sales of target segment product shall be considered as the date of sales subject to recognizing revenue in the book of accounts and dispatch of goods. If any invoice, which is not recognized as revenue in the books and issued during an incentive claim period, may be claimed in subsequent claim period when it meets the revenue recognition criteria.

5.3.3. In case of return of sales of target segment goods, the sales return shall be adjusted from the gross sale for the period in which the actual return of sales takes place.

5.3.4. In case, an applicant is engaged in the trading as well as manufacturing of the target segment, for identification of sales of manufactured target segment, the applicant shall maintain the separate accounting for trading and manufacturing activity. Further, it should provide a statutory auditor certificate for the sales recognized from the manufacturing activity.

5.3.5. The applicant shall maintain a general ledger wise break-up of total revenue appearing in the financial statements. The applicant shall also submit the reconciliation of net sales of target segment goods with operational income as per books of accounts. The

applicant shall also provide a statutory auditor certificate for eligible sales for calculation of incentive. The applicant shall also provide the e-way bill and GST reconciliation for the sales of the target segment goods.

- 5.3.6. If an applicant acquires or makes a JV with a brownfield company, then the incremental sales would be calculated after including the base year sales of such acquired brownfield company.

5.4. Cumulative Incremental Employment

- 5.4.1. For the computation of cumulative incremental employment, the average employment over a period shall be considered. The average employment shall be referred to the sum of number of persons employed (direct or contractual) on monthly basis over 12 months by the applicant divided by number of months i.e. 12.
- 5.4.2. For turnover linked incentive, the cumulative incremental employment shall be the difference between average employment in the incentive claim year and average employment in the base year. The average employment shall be calculated on a financial year basis.
- 5.4.3. For capex incentive, the cumulative incremental employment shall be calculated as the difference between the average employment in any 12 consecutive months not later than subsequent two (2) financial years from the year of commencement of commercial production and average employment in trailing 12 months from the month of acknowledgement.
- 5.4.4. The average number of employees in the approved Project/ Unit appointed directly or through contractors shall only be considered as per the Employees' Provident Fund Organisation (EPFO) records. The applicant should maintain proper records of employment including statutory returns like Provident Fund (PF) Returns etc. to be filed with Labour Dept. of the respective state.
- 5.4.5. Apprentices and any casual labour shall not be considered for computation of average employment. For calculating average employment, only the employees engaged in the approved project/ unit shall be considered.

5.4.6. In case, both target segment and non-target segment goods are manufactured in the approved project/ unit, the number of employees related to target segment goods shall only be considered. The applicant should maintain consistency of assumptions and estimation in its methodology for segregation of employment related to target segment and non-target segment goods for employees deployed in approved project/ unit throughout the scheme tenure.

5.4.7. The applicant shall provide details of cumulative incremental employment duly certified by a Statutory Auditor who shall certify this based on the return filed in EPFO by the applicant.

6. Calculation of Incentives

6.1. For Turnover Linked Incentive, the incentive shall be given on net incremental sales (over the base year), multiplied by the incentive rate as given in Annexure 2 of the scheme guidelines, for the target segment goods manufactured in Bharat. For disbursement of turnover linked incentive, the incremental sales and cumulative incremental investment shall be mandatory criteria. Out of total turnover linked incentive eligible rate, 1% shall be disbursed only on meeting cumulative incremental employment threshold criteria as per Annexure 3 of the scheme guidelines. That is in cases where an applicant meets incremental sales threshold and cumulative incremental investment threshold but is unable to meet cumulative incremental employment threshold, the turnover linked incentive shall be disbursed after deducting 1% (of incentive rate) from the eligible rate.

6.2. For Capex Incentive, the incentive shall be given on eligible incremental capital expenditure, multiplied by the incentive rate as given in Annexure 2, for the target segment goods manufactured in Bharat. For disbursement of capex incentive, meeting the investment threshold and commencement of commercial production shall be mandatory criteria. Out of total capex incentive rate (25%), 5% of the capex shall be disbursed only on meeting cumulative incremental employment threshold as per Annexure 3. That is in cases where an applicant meets the investment threshold and commencement of commercial production but is unable to meet the cumulative incremental employment threshold, the capex incentive shall be given by deducting 5% (of incentive rate) from the eligible rate.

7. Target segment specific criteria for eligibility of incentive

- 7.1. Display module sub-assembly: The applicant shall carry out the complete sub-assembly process including Film on Glass (FOG) & Chip on Glass (COG) processes (as applicable) in Bharat to avail incentive under the scheme. The final assembly from the semi-assembled product shall **not** be considered for incentive.
- 7.2. Camera Module Sub-assembly: The applicant shall carry out the complete sub-assembly process including surface mounting of component on substrate, Front on Line (FOL) process & End of Line (EOL) process (as applicable) in Bharat to avail incentive under the scheme. The final assembly from the semi-assembled product shall **not** be considered for incentive.
- 7.3. Multi-layer PCB: The applicant, from 2nd year onwards, should localize at least one part/components i.e. any Process Chemistry material, any Finished Chemistry Material, Solder Mask Ink, Tin Balls and Solder, each year. Localization of Process Chemistry Material and Finished Chemistry Material shall be considered only for one year each during the scheme tenure.
- 7.4. Li-ion Cells for digital application (excluding storage and mobility): The applicant shall meet the following conditions to avail incentive under the scheme:
- 7.4.1. Manufactured Li-ion cells should be for digital applications excluding storage and mobility).
- 7.4.2. The capacity of the Li-ion cell should not be more than 10,000 mAh; it can be prismatic, pouch or cylindrical.
- 7.4.3. From 2nd year onwards, localization of at least one part/components i.e. electrolyte, anode electrode and cathode electrode, each year.
- 7.5. Enclosures for Mobile, IT Hardware products and related devices: The applicant shall manufacture enclosure from metals or plastics or glass to avail incentive under the scheme. Finishing/decoration should be a part of the manufacturing process.

8. Additional Incentive

- 8.1. Li-ion Cells for digital application (excluding storage and mobility): An additional incentive, over and above the specified turnover linked incentive, shall be given @ 2% on incremental sales on domestic sourcing/manufacturing of cathode active material (CAM) and subject to meeting other eligibility criteria.
- 8.2. Multi-layer PCB: An additional incentive, over and above the specified turnover linked incentive, shall be given @1% on incremental sales on domestic sourcing/manufacturing of laminate for the multi-layer PCB manufacturing and subject to meeting other eligibility criteria.
- 8.3. In the case of partial domestic sourcing/manufacturing of CAM/ laminate, the additional turnover linked incentive shall be given on a pro rata basis.
- 9. Overall ceilings on incentive**
- 9.1. The overall ceiling on incentive shall be 50% of the cumulative actual eligible incremental investment made by the applicant during the scheme tenure. It would not include the additional incentive for the target segment products as in para 8 above.
- 10. Other criteria:**
- 10.1. For the target segment (6) Li-ion cells for digital application (excluding storage and mobility), if an applicant is also engaged in manufacturing Li-ion cells having application(s) other than digital application, the eligible capital investment and employment shall be considered on pro-rata basis in proportion to the sales of goods for digital application vis-à-vis total sales from the project/unit.
- 10.2. For localization of part/ component of Li-ion Cells for digital application (excluding storage and mobility) under target segment (6) and multi-layer PCB under target segment (5), the following criteria are applicable:
- 10.2.1. The applicant may localize component/ part, as required, any time during the incentive year. However, the sales of target segment goods for the entire incentive year shall be considered eligible for incentive.

- 10.2.2. If an applicant does localization of more than one part in any year, the localization in excess of one part may be considered for compliance with this clause in subsequent year(s).
- 10.2.3. The date of localization of component shall be considered based on the date of first sales invoice of the Target Segment product using the localized component/ part.
- 10.2.4. Once a part/component localized, thereafter, the manufactured target segment goods sales shall only be considered eligible for incentive, only if such localized part/ component has been used in manufacturing and sales in future years.
- 10.2.5. The applicant shall submit a self-declaration along with certificate from the CE that the applicant has localized the part/component for requisite manufacturing capacity and this localization process is not temporary for that claim period and it is likely to be continued in manufacturing of target segment goods in future years as well.
- 10.2.6. For domestic sourcing of part/ component, the applicant shall ensure that the localized part/component is manufactured in India and not merely imported and supplied. The applicant shall provide a declaration from the component supplier in the prescribed format on the online portal.

11. Incentive Outlay and its utilization

- 11.1. The overall incentive outlay of the scheme is Rs 22,805 crore. The incentive outlay for the target segments (A), (B) and (C) is Rs 21,093 crore, which is fungible among each other depending on the responses received from the applicants. The incentive outlay for the target segments (D) is Rs 1,712 crore. The GC shall review the progress under the scheme and may reallocate incentive outlay from one segment to another depending on industry response or performance under each category. However, the overall incentive outlay of the scheme will remain fixed.
- 11.2. The incentive under the scheme shall be disbursed on a first-come, first-served basis of eligible claims submitted. This means claims submitted on the portal along-with valid certification including statutory auditor's certificate, chartered engineer's certificate (wherever applicable) and management letter in the prescribed format on the online portal. The scheme is intended to encourage the applicants for expeditious implementation of

projects under various target segments. The PMA may seek clarifications and further details, if required, without affecting the seniority of the claims.

12. Application submission

- 12.1. The application shall be submitted in the prescribed format on the online portal.
- 12.2. For target segments (A), (B) and (C), the scheme shall be open to receive applications initially for 3 months from 1st May 2025. While filing the applications, the applicant shall provide its investment projections, sales projections, employment projections, localization plan & expected domestic value addition (DVA), and estimated incentive projections. The applicant shall also provide the manufacturing process flowchart.
- 12.3. For target segment (D), the scheme shall be open to receive applications for 2 years from 1st May 2025. The applications shall be reviewed on ongoing basis for approval. While filing the applications, the applicant shall provide a detailed project report including clear business plan, investment projections, sales projections, employment projections, localization plan and expected domestic value addition (DVA). The applicant shall also provide the manufacturing process flowchart, indicative timeline for investment and a tentative list of capital equipments.
- 12.4. No application shall be accepted after the end of the application window.
- 12.5. The application window may be extended/reopened at any time during the scheme tenure based on the response from investors.
- 12.6. On receipt of application, PMA will do a prima facie review of the application and endeavor to issue an acknowledgement letter within 15 working days from the receipt of application complete in all respects, subject to meeting the eligibility criteria.
- 12.7. In case an application is found incomplete, MeitY/ PMA shall raise the query within 15 working days. Further, the applicant needs to submit the requisite information/documents within 15 working days, failing which, the application may be closed under intimation to the applicant.
- 12.8. The application fee will be non-refundable and it shall be accepted electronically only. The application fee for each application made under the scheme are as under:

Target segments	Application Fee
• Non-Surface mount devices (non-SMD) passive components for electronic applications • Electro-mechanicals for electronic applications • Multi-layer Printed Circuit Board (PCB) • Parts/components used in manufacturing of sub-assembly (A) and bare components (B) & (C) • Capital goods used in electronics manufacturing including their sub-assemblies and components	Rs 2,00,000/-
• Display module sub-assembly • Camera module sub-assembly • SMD passive components	Rs 3,00,000/-
• Li-ion Cells for digital applications (excluding storage and mobility) • High-density interconnect (HDI)/ Modified semi-additive process (MSAP)/ Flexible PCB • Enclosures for Mobile, IT Hardware products and related devices	Rs 5,00,000/-

13. Online Portal

- 13.1. All the applications shall be submitted through the online portal i.e. www.ecms.meity.gov.in.
- 13.2. Upon successful submission of an application, PMA/ MeitY will issue a unique application ID to the applicant for all future activities pertaining to the scheme. The applicants are suggested to refer to its unique ID for all future correspondence.
- 13.3. Details of online portal shall be published on MeitY website separately.
- 13.4. Post approval, all the communication shall be made through the online portal, including claim submissions and documents etc., if any.

14. Project Management Agency (PMA)

- 14.1. The scheme will be implemented through a nodal agency(ies). It shall act as a PMA and will be responsible for providing secretarial, managerial and implementation support and carrying out other responsibilities as assigned by MeitY from time to time.
- 14.2. The PMA, *inter-alia*, would be responsible for the following:
 - 14.2.1. PMA shall develop an online portal for smooth implementation of scheme.

- 14.2.2. Receiving the applications, examination & appraisal of applications and issuing acknowledgements.
- 14.2.3. Making appropriate recommendations to the Governing Council (GC) / MeitY for approval of applications under the scheme.
- 14.2.4. Determining net eligible sales, cumulative eligible investment, cumulative eligible employment, baseline sales, etc. and any other criteria prescribed in scheme guidelines and approval letter.
- 14.2.5. Examine the disbursement claims submitted by the applicant, verification and reconciliation of claims, computation of incentive and make appropriate recommendations to GC/ MeitY in line with the scheme notification and guidelines.
- 14.2.6. The PMA shall ensure that the total incentive disbursed shall not exceed the overall incentive outlay and ceiling under the scheme.
- 14.2.7. The PMA / MeitY may request additional information, details and documents from the applicant as deemed necessary.
- 14.2.8. The PMA shall carry out physical verification of assets. PMA will select a sample of assets on a random basis to cover the value of at least 25% of the eligible investment. The selection shall be made based on fixed assets IDs.
- 14.2.9. Compilation of data related to the progress and performance of the scheme through quarterly review reports and other information/ documents.
- 14.2.10. The PMA shall submit budgetary requirements to MeitY as a consolidated amount on a quarterly basis.
- 14.2.11. PMA shall also deploy three (03) manpower at MeitY for secretarial, managerial and implementation support.
- 14.2.12. PMA shall also be responsible for any other activity related to the scheme as assigned by MeitY from time to time.

15. Approval under the scheme

- 15.1. On prima facie scrutiny of the applications, PMA will issue the acknowledgement letter. Acknowledgement of an application shall not be construed as approval under the scheme.
- 15.2. After detailed examination, PMA will make appropriate recommendations to the GC. Further, GC shall review the proposals and make appropriate recommendations to Competent Authority for approval / rejection / modification of applications.
- 15.3. On approval of competent authority, MeitY may issue approval / rejection / modification letter to the applicant or recommend PMA to issue the same within 5 working days.
- 15.4. The approval letter, *inter-alia*, shall include the following:
- a) Name of applicant
 - b) Project / unit location
 - c) Date of acknowledgement and/or approval
 - d) Target segment
 - e) Product to be manufactured
 - f) Base year, as applicable
 - g) Incentive period
 - h) Eligibility criteria with respect to investment, sales and employment, as applicable
 - i) Target segment specific eligibility criteria
 - j) Yearly projections submitted by the applicant with respect to capital expenditure, incremental sales and employment generation, as applicable.
 - k) Expected yearly incentive
 - l) Last date for making capital expenditure, as applicable
 - m) Plan for localization & expected domestic value addition (DVA)
 - n) To furnish self-certified Quarterly Review Reports (QRRs) within 30 days from the end of each quarter in the prescribed format on the online portal.
 - o) Any other information/ condition stipulated by GC/ competent authority

- 15.5. The approval letter shall not be construed as a guarantee for disbursement of incentive as the same shall be dependent upon verification of eligibility after submission of disbursal claim and other criteria defined in these scheme guidelines.

16. Governing Council (GC)

- 16.1. In accordance with Para 13.2 of the scheme notification, MeitY shall constitute an inter-ministerial Governing Council (GC) chaired by Secretary, MeitY and representatives from NITI Aayog, Department of Expenditure, Department of Economic Affairs, Department for Promotion of Industry and Internal Trade, Department of Telecommunication, and Ministry of Heavy Industries. The Joint Secretary (Electronics), MeitY shall be the member secretary. Representative from Integrated Finance Division of MeitY shall also be members of GC.
- 16.2. The GC shall consider applications as recommended by the PMA and make appropriate recommendations to the Competent Authority for approval under the scheme. The GC may seek additional information as deemed appropriate.
- 16.3. GC will review the technological and financial capability for selection of applicants under the scheme.
- 16.4. For target segment (D), GC shall review the investment timeline as proposed by the applicants and may make appropriate recommendations for revision in timelines. Approval shall be accorded accordingly, and applicants have to adhere the approved timelines for investment.
- 16.5. With an intent to develop the capability for supply chain ecosystem of electronics components and sub-assemblies (not limited to the target segment), GC may consider applications for manufacturing of such parts/components and make suitable recommendations for approval of competent authority under the scheme.
- 16.6. The GC may conduct a periodic review to assess the progress made by eligible applicant(s) under the scheme with respect to their investments, employment generation, production, domestic value addition, etc.
- 16.7. The GC shall review the scheme performance and recommend suitable amendments in the scheme and its guidelines with respect to target segment(s), applicable incentive rates,

tenure of the scheme, threshold of investment, sales & employment, gestation period, or any other matter considered necessary for effective implementation of the scheme.

16.8. GC may review the localization criteria for the target segment, as indicated in para 7 of scheme guidelines, and may recommend suitable revision(s) depending upon the domestic manufacturing capability and capacity.

16.9. In case of a force majeure event, the GC may recommend to amend, modify, or withdraw any clause(s) under the scheme and its guidelines.

17. Competent Authority

17.1. Hon'ble Minister for Electronics and Information Technology (MEIT) shall be the Competent Authority for approval of individual projects with incentive above Rs 100 crore.

17.2. Secretary, MeitY shall be the competent authority for approval of individual projects with incentive upto Rs 100 crore. As Secretary, MeitY is the chairman of GC, recommendation of GC (in the form of approved minutes of meeting) shall be construed as approval for project having incentive of upto Rs 100 crore.

17.3. Subsequent to the approval of the projects by competent authority, Secretary, MeitY shall be the competent authority for disbursement of incentive for all approved projects.

17.4. For any other matters including amendment to scheme/scheme guidelines as per Para 15 of scheme notification, Hon'ble MEIT shall be the competent authority.

18. Baseline Sales

18.1. It will only be applicable for computation of turnover linked incentive. It shall be used for computing net incremental sales of target segment goods incentive year.

18.2. The baseline sales shall include net sales of target segment goods manufactured in India in the base year by the applicant as well as group company/ joint venture.

18.3. The PMA shall determine the baseline sales based on information/ documents submitted by the applicant. This process will be completed within 30 working days from the submission of all necessary documents and receipt of clarifications sought by the PMA. The PMA shall accordingly make appropriate recommendations to the GC for consideration and approval of competent authority.

18.4. On approval, the PMA shall issue a letter for baseline sales to the applicant within 5 working days.

19. Disbursement of Incentives

19.1. The applicant shall submit the incentive claim, complete in all respects, including all requisite documents in the prescribed format on the online portal. PMA may seek additional data, clarification, or document, as deemed appropriate, for examining and processing of incentive claim.

19.2. The applicant may submit an incentive claim at any time during the year provided the eligibility criteria have been met. All such claims shall be duly certified by Statutory Auditor and as well as management representation letter/management undertaking.

19.3. In case, incentive claims are submitted based on unaudited financial statements, the follow-up certificates based on the audited account and duly certified by statutory auditors shall be submitted before the submission of incentive claim for next financial year.

19.4. Claims for any period shall be made only once, unless withdrawn, and no subsequent part claims shall be allowed for the same period, except where the claim is deferred by PMA for accounting or regulatory rectification. Such cases may be considered with subsequent incentive claim, for the period to which it pertains.

19.5. The PMA shall also have the right to examine the end realization and settlement/ payments corresponding to sales and investment respectively by way of auditor's certificate, bank statements etc. to the extent deemed necessary.

19.6. In case of any ambiguity, the PMA may refer such cases to GC for clarification. The decision of GC shall be final in this regard.

19.7. The Competent Authority (as in Para 17.3) will consider claims for disbursement of incentive, as recommended by the PMA.

19.8. MeitY will disburse incentive to PMA on a case-to-case basis, PMA will further disburse the incentive to the applicants in the form of direct bank transfer after completion of pre-disbursal documents.

- 19.9. In case of excess claims disbursed, the applicant shall reimburse MeitY for any excess incentive disbursed along with interest calculated at 3 years SBI MCLR/base rate per annum or the extant rates prevailing on the date of disbursement, compounded annually, for the period between excess payment and date of refund by the applicant.
- 19.10. If the PMA/ MeitY is satisfied that eligibility under the scheme and/ or disbursement of incentives have been obtained by misrepresentation of essential fact(s) or furnishing of false information, the applicant shall reimburse MeitY, the incentive disbursed along with interest calculated at 3 years SBI MCLR/ base rate per annum prevailing on the date of disbursement, compounded annually, after giving an opportunity to the applicant of being heard.
- 19.11. PMA shall furnish information to MeitY with details of disbursement claims received for incentives, amount disbursed, and reasons for rejection/ delay in disbursement of the incentives on a monthly basis.

20. Related Party Transactions (RPT)

- 20.1. The applicant shall comply with the rules under the Companies Act and Income Tax Act related to RPT and submit a statutory auditor certificate in prescribed format on the online portal. For international RPT, the Form 3CEB filed by applicant shall be considered as the reference document. For domestic RPT, the applicant shall submit a management undertaking stating that arm's length price has been considered for RPT and the mechanism to assess the arm's length price is consistent throughout the scheme tenure and the base year. PMA may ask for additional documentation, if required.
- 20.2. The assessment under Income Tax Act and other regulatory statutes takes time to complete and invariably happens long time after claim of the incentive. Therefore, the applicant shall submit an undertaking to PMA/MeitY stating that if any adjustment is made w.r.t related party transaction having an impact on the incentive disbursed, the excess amount disbursed shall be refunded as per para 19.9 of scheme guidelines.
- 20.3. As the scheme guidelines allow the applicant to file the claim as soon as threshold sales and investment criteria are met; therefore, an incentive claim can be filed for the period ended 30th June, 30th September, 31st December or 31st March (i.e. at the end of quarter in

which applicant meets the threshold criteria). Since the compliances under IT Act are to be completed in the subsequent Financial Year, 80% of the incentive on the related party sales/ investment on the claims filed before the due date for filing Form 3CEB shall be considered for release. The applicant shall be required to submit an indemnity bond for the same before disbursal of incentives.

- 20.4. Balance 20% of the incentive shall be released after completion of such compliances and submission of SA certificate as per the standard format of the certificate for related party transaction.

21. Review

- 21.1. The scheme is intended to be implemented expeditiously to facilitate prompt execution and effective utilization of budget. Therefore, the performance of approved applicants shall be reviewed periodically under the scheme with respect to their investments, employment generation, production, domestic value addition, etc.

21.1.1. If an applicant makes sluggish progress in the target segments (A), (B) and (C), i.e. applicant has either made no investment in 1st year of approval or cumulative investment is lower than 50% of the threshold investment of subsequent year(s), the GC may revoke the approval of applicant, leading them ineligible for incentive under the scheme in future.

21.1.2. If an applicant makes sluggish progress in the target segments (D), i.e. the applicant has either made no investment in 1st year of approval or cumulative investment is lower than 50% of the projected investment (as indicated in approval letter) of subsequent year(s), the GC may revoke the approval of applicant, leading them ineligible for incentive under the scheme in future.

21.1.3. GC may also revoke the approval of applicant(s) for substantial lack of performance in terms of sales.

- 21.2. The GC may provide an opportunity to the applicant to explain the reason(s) for the sluggish progress. If the applicant is able to explain the reason(s) for the delay and submit a corrective action plan to achieve the desired performance within a reasonable timeframe to the satisfaction of the GC, the GC may consider against the revocation of the approval.

21.3. All approved applicants will be required to furnish self-certified Quarterly Review Reports (QRRs) within 30 days from the end of each quarter in the format prescribed on the online portal.

22. Residual

22.1. An applicant shall inform the PMA of any change in the shareholding pattern during the tenure of the scheme, after updation with the Registrar of Companies (RoC).

22.2. In case of any change in the shareholding pattern of an applicant leading to a successor-in-interest during the tenure of the scheme, PMA shall intimate GC of the same.

22.3. In case of successor in interest, the investment made by non-approved entity before such an event shall not be considered. The baseline sales and employment shall remain unchanged.

22.4. The applicant shall submit the following pre-disbursal documents, post approval of incentive claim(s):

22.4.1. A management undertaking in the prescribed format on the online portal.

22.4.2. An Agreement/ Indemnity Bond in prescribed format on the online portal that if at a later stage claim is found to be false or excessive it would be liable to return the amount disbursed with interest calculated at 3 years SBI MCLR prevailing on the date of disbursement, compounded annually.

22.4.3. Board resolution to the effect that the applicant agrees by the terms and conditions as laid down in the scheme and its guidelines while securing the incentive amount.

22.5. To obviate any malpractices in the financial matters where disbursements are made to industry by the government, it has been decided to provide a deterrent against corrupt practices for promotion of transparency and equity. Therefore, keeping in view the sensitivities involved in the process and taking cue from the instructions of the Central Vigilance Commission regarding adoption of an Integrity Pact in the matter of procurement, it has been decided to obtain undertaking(s) from applicants under the scheme.

- 22.6. Integrity Pact undertakings are to be furnished by applicants, duly signed by its CEO/MD/Director depicting designation and authorization to do so.
- 22.7. The Integrity Pact undertaking (Format A) shall be submitted by all applicants whose applications or claims are under consideration for approval or disbursement of incentives on the online portal. The applications or claims of those applicants who do not submit the undertaking shall not be processed and considered. The Integrity Pact undertaking (Format B) for confirming the compliance of integrity will be provided by applicants after the submission of claims for disbursement of incentive and in any case before the release of funds. The release of incentives shall be withheld until the above-mentioned undertaking is provided.
- 22.8. The first undertaking (Format A) shall be provided by all applicants whose applications or claims are under consideration for approval or disbursement of incentives. The applications or claims of those applicants who do not submit the undertaking shall not be processed and considered. The second undertaking (Format-B) for confirming the compliance of integrity will be provided by applicants after the submission of claims for disbursement of incentive and in any case before the release of funds. The release of incentives shall be withheld until the above-mentioned undertaking is provided.
- 22.9. If an applicant, engaged in manufacturing of multi-layer PCB and HDI PCB both, is approved under the target segment multi-layer PCB only, the sales of HDI PCB shall also be considered as eligible sales for computation of turnover linked incentive. The incentive rate of the target segment Multi-layer PCB shall be applicable on the sales of HDI PCB.
- 22.10. For HDI/MSAP/Flexible PCB and Multi-layer PCB, many of the capital equipment will have dual applications (i.e. used for both HDI/MSAP/Flexible PCB and Multi-layer PCB). In case an applicant is approved for both target segments:
- 22.10.1. The investments made for the multi-layer PCB would also be included for calculation of investment threshold for the target segment HDI/MSAP/Flexible PCB.
- 22.10.2. The investment made towards the capital equipment, which have exclusive use in manufacturing of HDI/MSAP/Flexible PCB and a proportionate capacity of capital equipment having dual use shall be considered for computation of capex incentive.

The proportionate capacity shall be considered as ratio of capacity of capital equipment having exclusive use in manufacturing of HDI/MSAP/Flexible PCB to the capacity of capital equipment having dual use.

22.11. For the target segments (D), any change/ deviation in the location of a project/ unit, applicant shall submit the requisite details/documents to PMA and in turn PMA has to inform GC.



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List of products covered under certain target segments

S. No.	Target Segments	Products covered
1	Non-SMD passive components	Resistors, Capacitors, Ferrites, Specialty Ceramics, Inductors, Coils (including inductive coil), etc. for electronic applications
2	Electro-mechanicals	Speakers & Microphones for ICT products, Relays, Switches, Connectors, Heat Sinks, Antenna, Vibrator Motors, Oscillators, Filters, Actuators, Crystals, Sensors (non-semiconductor), Transducers, etc. for electronic applications
3	Supply Chain of sub-assemblies & bare components	Laminate, Pre-Peg, Copper Foil, Separator, Cathode Material, Anode Material, Electrolyte, Polypropylene Film, Spray Wire, Lenses, Protective Film, Glass Cover, Back Light, Contrast Film, Polarizer Film, etc. for electronic applications. (This is an illustrative list and is not an exhaustive list of supply chain.)

Target segments and incentive rates

S.No.	Target segments	Cumulative investment (Rs)	Turnover linked incentive (%)	Capex incentive (%)
A	Sub-assemblies			
1	Display module sub-assembly	250 crore	4/4/3/2/2/1	NA
2	Camera module sub-assembly	250 crore	5/4/4/3/2/2	NA
B	Bare components			
3	Non-SMD passive components	50 crore	8/7/7/6/5/4	NA
4	Electro-mechanicals	50 crore	8/7/7/6/5/4	NA
5	Multi-layer PCB [#]	50 crore	≤ 6 layers 6/6/5/5/4/4 ≥ 8 layers 10/8/7/6/5/5	NA
6	Li-ion Cells for digital application (excluding storage and mobility) [#]	500 crore	6/6/5/5/4/4	NA
7	Enclosures for Mobile, IT Hardware products and related devices	500 crore	7/6/5/4/4/3	NA
C	Selected bare components			
8	HDI/MSAP/Flexible PCB	1000 crore	8/7/7/6/5/4	25%
9	SMD passive components	250 crore	5/5/4/4/3/3	25%
S.No.	Target segments	Minimum investment (Rs)	Turnover linked incentive (%)	Capex incentive (%)
D	Supply chain ecosystem and capital equipment			
10	Supply Chain of sub-assemblies (A) & bare components (B) & (C)	10 crore	NA	25%
11	Capital goods used in electronics manufacturing including their sub-assemblies and components	10 crore	NA	25%

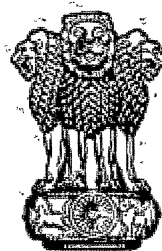
[#]The applicant shall be eligible for an additional incentive of 1% and 2% on domestic sourcing/manufacturing of laminate for multi-layer PCB manufacturing and of Cathode Active Material (CAM) for Li-ion cell manufacturing respectively.

Threshold criteria for target segments

Target segments	Year	Cumulative incremental investment threshold (in Rs Cr)	Incremental sales threshold (in Rs Cr)	Cumulative incremental employment threshold (in No.)
(1) - Display module	Year 1	50	200	50
	Year 2	100	400	100
	Year 3	150	600	150
	Year 4	200	800	200
	Year 5	250	1,000	250
	Year 6	-	1,200	300
(2) - Camera module	Year 1	50	150	75
	Year 2	100	300	150
	Year 3	150	450	225
	Year 4	200	600	300
	Year 5	250	750	375
	Year 6	-	900	450
(3 & 4)- Non-SMD Passive & Electro-mechanical	Year 1	10	15	30
	Year 2	20	30	60
	Year 3	30	45	90
	Year 4	40	60	120
	Year 5	50	75	150
	Year 6	-	90	180
(5) - Multilayer PCB	Year 1	10	15	15
	Year 2	20	30	30
	Year 3	30	45	45
	Year 4	40	60	60
	Year 5	50	75	75
	Year 6	-	90	90
(6) - Li-ion cells for digital applications (except storage and mobility)	Year 1	100	200	100
	Year 2	200	400	200
	Year 3	300	600	300
	Year 4	400	800	400
	Year 5	500	1,000	500
	Year 6	-	1,200	600

Target segments	Year	Cumulative incremental investment threshold (in Rs Cr)	Incremental sales threshold (in Rs Cr)	Cumulative incremental employment threshold (in No.)
(7) - Enclosures for Mobile, IT Hardware products and related devices	Year 1	100	200	120
	Year 2	200	400	240
	Year 3	300	600	360
	Year 4	400	800	480
	Year 5	500	1,000	600
	Year 6	-	1,200	720
(8) - HDI/MSAP/ Flexible PCB	Year 1	200	200	200
	Year 2	400	400	400
	Year 3	600	600	600
	Year 4	800	800	800
	Year 5	1,000	1,000	1,000
	Year 6	-	1,200	1,200
(9) - SMD passive components	Year 1	50	75	100
	Year 2	100	150	200
	Year 3	150	225	300
	Year 4	200	300	400
	Year 5	250	375	500
	Year 6	-	450	600
(10) - Supply chain of sub-assemblies & bare components*	-	10	Commencement of commercial production	10
(11) - Capital goods used in electronics manufacturing including their sub-assemblies and components*	-	10	Commencement of commercial production	20

*It is indicative employment per crore of investment, the actual cumulative incremental employment threshold shall be corresponding to the cumulative incremental investment.



सत्यमेव जयते

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Ministry of Electronics and Information Technology

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